

black-and-white attitude toward investment propriety that likely led John Maynard Keynes to his trenchant observation that “a speculator is one who runs risks of which he is aware, and an investor is one who runs risks of which he is unaware.”¹

A more modern attitude—and, like Keynes’s, well ahead of its time—would be based on the notion that virtually any asset can be a good investment if bought knowledgeably and at a low-enough price. The opposite is also something that I insist is true: there is no asset so good that it can’t be a bad investment if bought at too high a price. Everyone now realizes that membership on a list of “acceptable investments” certainly doesn’t provide protection against loss. If you don’t agree with that statement, try looking for the 40 or so corporate bonds that were rated AAA when I was in college, or the enormous numbers of tranching mortgage-backed securities that received AAA ratings in the lead-up to the Global Financial Crisis of 2007–2009, but were downgraded and eventually recovered less than par.

In *Security Analysis*, the principle is developed and reiterated that “a high coupon rate is not adequate compensation for the assumption of substantial risk of principal.” (Chap. 9) This statement would seem to rule out investing in high yield bonds, which has been successfully pursued over the last 45 years with absolute and risk-adjusted returns well above those on investment-grade bonds. A more thorough reading, however, shows that securities that the authors say should not be purchased “on an investment basis” can still be considered “for speculation.” Nevertheless, today Graham and Dodd’s blanket statement certainly seems doctrinaire—especially in that it implements a distinction that has almost entirely ceased to exist. The statement that certain assets either are or are not appropriate for purchase on an investment basis is probably one of the dicta to which I reacted

¹ John Maynard Keynes, *The General Theory of Employment, Interest and Money*, London: Macmillan, 1936, p. 153.